



growth we hope to see unfold.

I think it is a new country now, and one filled with aspirations. If you look at our infrastructure, there's a transformation. A lot still needs to be done, but a lot has also happened. Most analysts expect India to be the fastest-growing major economy over the next couple of decades. For us, that is a unique place and a unique opportunity to be able to tap into and have an established brand.

Q: You spoke about an established brand, and that is a good example of self reliance. Given how the West Asia crisis is playing out, how important is it for you to develop your own base and supply chains from raw material to final product?

I have mixed feelings about this. On the one hand, I think it's quite sad to see the way the world is going, where this is becoming more necessary. I think the globalised world, as much maligned as it was in many Western countries, brought unforeseen prosperity, led to great growth, and took millions of people out of poverty. It's a bit of a shame to see that being questioned globally.

But at the same time, we must take the world as it is, and I think there is an opportunity and a requirement for India to look at becoming much more self-sufficient in key inputs. We've seen global disruptions many times in the last few years.

If you look at the pandemic, it made clear what

kind of disruptions can be faced, and how you need to make sure that your supply chains are more secure. I think India will have to do a lot of work on gaining self-sufficiency.

This is not something that can happen overnight or in a year or two. But we will have to move in the direction of ensuring that at least key strategic things needed for the country's security and economic growth are available internally.

Q: Getting back to property, where does residential stand in terms of the cycle? Are we at the peak, and what is likely to happen to rates and consumer adoption?

A: I think we're probably somewhere in the middle part of the cycle. Typically, a cycle starts off with a couple of years of volume confidence coming back. That's what happened this time. So, from 2013 to about the end of 2020, we were in a consistent down cycle. Volumes were going down, prices were going nowhere,

“Our medium-term aspiration for FMCG is 10% volume growth. If the business can do that, revenue growth, of course, will be faster”

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and that was a pretty tough end of the cycle.

But from the end of 2020, the cycle has been through a strong phase. I would say 2021 and 2022 were more about volumes recovering and the market getting confidence, with 2023 and 2024 seeing rapid price growth, rapid volume growth—that's typical of the sector.

We saw that in our business as well, where, you know, places like NCR and Bangalore saw 20-30%—even more in some cases—pricing growth in a single year. I think from about the middle of last year, we've been in what I would call the steady end of the cycle, which also typically lasts three or four years.

Our best-case estimate is that for the next three years, you should see pricing move roughly in line with inflation. **BT**

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